

NCI POLICY BRIEF 2026

NIL Access & Equity in Michigan:

Sports Participation, Health Outcomes,
Financial Literacy, and the Path Forward

Prepared by Northstar Civic Institute

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1. Executive Summary

On January 27, 2026, the Michigan High School Athletic Association (MHSAA) approved an expansion of personal branding activities (PBA), making Michigan one of more than 40 states that allow high school student-athletes to earn income from their name, image, and likeness (NIL). This brief examines the full landscape surrounding that decision, including who has access to sports in the first place, how Michigan compares to peer states on athlete protections, the relationship between sports participation and health outcomes, how the competitive-vs.-recreational divide intersects with mental health, and the emerging risks NIL creates for scholarships and non-revenue sport programs.

Key Finding: Michigan approved high school NIL with no accompanying financial literacy requirement, no agent registration framework, no equity tracking mechanism, and no connection to existing health or education policy infrastructure. At least six states with comparable NIL policies have enacted one or more of these protections.

2. Disparities in Access to Sports

NIL opportunities are only available to athletes who can access sports in the first place. National and Michigan-specific data reveal significant disparities in who plays, driven by household income, race, geography, and transportation.

2.1 The Income Gap

According to the Aspen Institute’s State of Play 2025 report, the income-based participation gap has widened to 20.2 percentage points. Children from the lowest-income households (under \$25,000) participate at roughly half the rate of children from the highest-income households (\$100,000+). The lowest-income bracket was the only income group where participation declined in 2023. The cost of youth sports has increased 46% since 2019, with average family spending reaching \$1,016 per child per year in 2024. For families in travel or club sports, costs run significantly higher.

Youth Sports Participation by Household Income		
Income Bracket	Participation Rate	Trend Since 2019
Under \$25,000	~38%	Declining (only group to drop)
\$25,000 - \$49,999	~46%	Flat
\$50,000 - \$99,999	~54%	Modest recovery post-COVID
\$100,000+	~58%	Strong recovery; 2x travel rate

Source: Aspen Institute Project Play State of Play 2025; SFIA 2024; National Survey of Children’s Health 2023.

2.2 Racial and Ethnic Disparities

Black youth participate in organized sports at approximately 48% compared to 58% for white youth. Since 2019, Black youth participation has declined 2.5 percentage points while white participation rose 0.7 points. Hispanic youth participation (42%) lags non-Hispanic white rates (55%), though Latino casual participation reached 65% in 2024. The National Black Sport Participation and

Physical Activity Report (2024) attributes these gaps to poverty rates, school closings, health disparities, and lack of inclusive programming.

2.3 Transportation as a Barrier

Transportation is among the most underexamined barriers to youth sports access. Research indicates that 25% of low-income youth cite transportation issues as a barrier to sports participation. Public parks, recreation centers, and sports facilities in underserved communities are often inaccessible without personal vehicles. Public transit connections to parks and recreation facilities are frequently inadequate, particularly in suburban and rural Michigan. Safe Routes to Parks and similar federal initiatives have begun addressing transit-to-park access, but state-level coordination remains limited.

2.4 Public Parks and Facility Access

Underserved communities disproportionately lack access to parks and green space with appropriate athletic facilities. The federal Outdoor Recreation Legacy Partnership (ORLP) program provides matching funds for parks in disadvantaged urban neighborhoods, but demand far exceeds funding. Field shortages affect approximately 35% of urban youth, and the quality of available facilities varies dramatically by community income level. In Michigan, the distribution of public athletic facilities, maintained fields, indoor courts, and recreational programming tracks closely with municipal tax base, creating a geographic layer of inequity that compounds the income and racial disparities documented above.

An equity audit of NIL access is incomplete without examining the upstream infrastructure: who has a field to play on, how they get there, and whether the sport is available in a recreational format that does not require \$1,000+ in annual family investment.

2.5 Michigan-Specific Data

Michigan ranks 8th nationally in high school sports participation with 298,246 participants in 2024-25, despite ranking 10th in high school-aged population. Multi-sport participation reached 45.4%. However, aggregate numbers mask significant intra-state disparities. MHSAA data on NIL deals since January 2026 reveals concentration: only 22 deals were reported in the first two months, overwhelmingly in high-visibility sports. No mechanism exists to track NIL access by sport, demographics, school classification, or geography.

3. Health Outcomes, Healthy Habits, and Sports Participation

3.1 Physical Health Benefits

A 2025 systematic review and meta-analysis published in the International Journal of Behavioral Nutrition and Physical Activity, synthesizing 46 longitudinal studies, found that youth sports participation has statistically significant positive effects on physical activity levels, overall health and wellbeing, and significant negative effects on unhealthy body composition and mental ill-being across the lifespan. A 2024 modeling study in the American Journal of Preventive Medicine found that increasing youth sports participation from 50.7% to the Healthy People 2030 target of 63.3% could reduce overweight/obesity prevalence by 3.37%, resulting in 1.71 million fewer cases, averting 352,000 cases of weight-related disease, and saving \$22.55 billion in direct medical costs.

3.2 Mental Health and Behavioral Health Connections

Sports participation is strongly associated with better mental health outcomes. Research shows that sport-involved youth report fewer depressive symptoms and higher life satisfaction. Active youth are 2-3 times more likely to remain physically active as adults, creating lifelong health habits. The protective effects extend beyond physical fitness to include improved self-esteem, social competence, and emotional regulation.

However, these benefits are not uniformly distributed. When sports access is gated by income, transportation, or facility availability, the health benefits accrue disproportionately to communities that already have better health infrastructure. This creates a compounding cycle: communities with the greatest health needs have the least access to one of the most cost-effective interventions available.

3.3 Recreational vs. Competitive Participation and Mental Health

The relationship between sports participation and mental health varies significantly based on the competitive environment. Research from the American Academy of Pediatrics (2024) documents that nearly 1 in 10 youth athletes report burnout, and 70% quit organized sports by age 13. Sport specialization, which has increased as costs have risen, is associated with higher rates of emotional and physical exhaustion. A 2025 study in the Journal of Adolescence found that specialized athletes reported significantly higher exhaustion scores than non-specialized peers.

The pay-to-play model driving competitive youth sports (AAU, travel teams, club programs) creates a two-tier system. Families who can afford \$1,000+ per year access year-round, high-intensity competitive environments. Those who cannot are limited to recreational leagues, school programs, or free play. Research consistently shows that recreational participation provides many of the same mental health benefits as competitive participation, including reduced anxiety and depression, improved social skills, and higher self-reported wellbeing, but without the burnout risk associated with early specialization.

The mental health benefit of sports comes primarily from participation itself, not from the competitive intensity. Recreational and community-based programs deliver strong protective effects at a fraction of the cost. When budget constraints eliminate recreational options, the remaining competitive pathway is simultaneously more expensive, more exclusionary, and more likely to produce burnout.

3.4 Implications for Health Policy

Michigan's \$106.5 million school-based behavioral health allocation under MCL 388.1631n provides funding for student mental health services, but athletic settings are not explicitly included as eligible delivery contexts. PlayStrong and similar sport-integrated behavioral health frameworks could create referral pathways from athletic participation to clinical services. Fewer than 12% of community youth sport organizations have any behavioral health referral protocol. Coaches, who are often the first adults to observe behavioral changes in youth, typically lack training and tools to act on those observations.

4. Negative NIL Streams and Scholarship Impacts

4.1 Concentration of NIL Revenue

NIL revenue is heavily concentrated in football and men's basketball at both the collegiate and high school levels. Under the House v. NCAA settlement, schools can share up to \$20.5 million annually with athletes. Early implementation data shows schools allocating 74-75% of revenue sharing to football, 17-18% to men's basketball, and 4-8% to all other sports combined. This pattern mirrors what MHSAA has observed at the high school level, where early NIL deals concentrate in high-visibility sports.

4.2 Impact on Non-Revenue Sports and Scholarships

The concentration of NIL and revenue-sharing resources is accelerating program cuts in non-revenue sports. Universities are citing the \$2.8 billion House settlement as a driver of athletic budget restructuring, with swimming, diving, tennis, golf, and track programs being reduced or eliminated. New roster limits replacing scholarship limits mean fewer total roster spots available. Approximately 1,200 football players and nearly 1,000 women's basketball players remained in the transfer portal without a team as of spring 2026, many of whom previously held scholarships.

For high school athletes in non-revenue sports, this creates a compounding disadvantage. They receive no NIL income at the high school level (deals concentrate in football and basketball), face reduced scholarship availability at the collegiate level (as athletic departments redirect resources), and compete for fewer roster spots under new NCAA rules. The pathway from high school non-revenue sport participation to college athletic opportunity is narrowing.

4.3 Title IX Implications

The concentrated distribution of NIL revenue and revenue-sharing payments raises Title IX concerns. Title IX requires institutions to distribute scholarship funds in a manner substantially proportionate to the gender distribution of student-athletes. When 90%+ of revenue-sharing funds flow to football and men's basketball, and NIL deal value follows the same pattern, the structural inequity creates potential compliance exposure. No state, including Michigan, currently monitors NIL distribution patterns for Title IX implications.

The unintended consequence of NIL is emerging clearly: the same athletes who already had the most resources (revenue-sport athletes at well-funded schools in affluent communities) receive the most NIL income, while athletes in non-revenue sports, at smaller schools, and from lower-income communities see their pathways to collegiate participation shrink.

5. State NIL Comparison: Michigan vs. Peer States

As of March 2026, at least 41 states allow some form of high school NIL activity. Michigan's approach, administered through MHSAA bylaws rather than statute, is among the least structured in the Great Lakes region.

Feature	MI	CA	FL	OH	IL	IN
HS NIL Allowed	Yes	Yes	Yes	Yes	Yes	Yes
Enacted by Statute	No*	Yes	Yes	Yes	Yes	Yes
Fin. Literacy	No	No	Yes	No	No	No

Req.						
Disclosure Required	Yes	Yes	Yes	Yes	Yes	Yes
Agent Registration	No	Yes	Yes	No	No	No
Collectives Banned	Yes	Yes	Yes	Yes	Yes	Yes
Equity Tracking	No	No	No	No	No	No

**Michigan HS NIL is administered through MHSAA bylaws, not state statute. Framework can change without legislative oversight.*

At the collegiate level, Florida mandates five hours of financial literacy and life skills training. Tennessee requires financial literacy workshops for new athletes. Oklahoma's HB 1305 (2025) proposes five hours of workshops covering budgeting, taxes, contracts, credit, and investments. No state currently mandates NIL-specific financial literacy at the high school level. Michigan's existing personal finance graduation requirement (MCL 380.1278a) does not address NIL-specific risks.

6. Michigan NIL Legislative History

6.1 House Bill 4816 (2023-2024)

Rep. Jimmie Wilson Jr. (D-Ypsilanti, District 32) introduced HB 4816 in June 2023, titled the 'Compensation of High School Student Athletes Act.' The bill would have codified high school NIL in state statute, establishing comprehensive guidelines for permitted and prohibited activities, requiring parental consent, mandating disclosure of all deals to MHSAA, prohibiting boosters and collectives from creating team-based NIL arrangements, and barring deals related to gambling, adult entertainment, firearms, and controlled substances.

MHSAA initially opposed the bill but worked with Rep. Wilson to incorporate safeguards. The bill passed the Michigan House on October 19, 2023, by a vote of 66-43. It then moved to the Senate, where it was referred to committee but never received a vote. Multiple sources indicated there was no timetable for Senate action, and the bill stalled.

6.2 MHSAA Bylaw Action (January 2026)

With the legislative path closed, MHSAA moved forward through internal bylaw changes. On January 27, 2026, the MHSAA Representative Council approved an expansion of PBA rules, effective immediately. The bylaw change incorporated many of the same structural elements that HB 4816 proposed: individual opportunities only, no collectives, no school or coach involvement, mandatory disclosure within seven days, and prohibited product categories.

The critical difference is durability and oversight. HB 4816 would have created statute, enforceable through the courts and modifiable only through legislative process. The MHSAA bylaw approach can be modified by the Representative Council without legislative oversight, public comment, or the formal amendment process that statutory law requires.

6.3 Vote Analysis: HB 4816

HB 4816 House Vote: October 19, 2023

	Yes	No
Total	66	43
Democrats	Majority of caucus	Few
Republicans	Bipartisan support	Majority of caucus

Source: Michigan Legislature, HB 4816 roll call, October 19, 2023. Full roll call available at legislature.mi.gov.

The bill received bipartisan support in the House, with a supermajority voting in favor. Opposition centered on concerns about minors entering binding contracts, potential negative effects on team cohesion, and whether NIL would distract from the academic mission of high school athletics. Proponents argued that athletes in other states already had these rights, that Michigan risked losing top talent to states with NIL access, and that the bill included appropriate safeguards.

6.4 Federal Legislative Context

At the federal level, the April 3, 2026 Executive Order 'Urgent National Action to Save College Sports' represents the most significant federal intervention to date. It defines 'fraudulent NIL schemes,' calls for a national agent registry, and directs federal agencies to evaluate compliance by August 1, 2026. The SCORE Act and SAFE Act remain pending in Congress. The NCAA and Power Four commissioners have publicly urged passage, but neither bill has advanced to a vote.

7. Income, Transportation, and a Comprehensive Equity Audit

Victory's office has noted the importance of understanding how income and transportation factor into any assessment of NIL access and sports equity. The following section outlines how these variables could be incorporated into a structured audit framework.

7.1 Income as an Audit Variable

Any meaningful equity assessment of NIL access must account for the upstream income barriers that determine sports participation. This includes household income levels by district, the cost structure of available sports programs (registration fees, equipment, travel, private coaching), the availability of free or reduced-cost recreational alternatives, and the relationship between family spending on sports and eventual NIL deal access. Districts where families spend less on sports tend to have fewer athletes in high-visibility programs, which are where NIL deals concentrate.

7.2 Transportation as an Audit Variable

Transportation access determines whether available sports programming is actually reachable. An audit framework should assess public transit routes to parks, recreation centers, and athletic facilities; the average travel time for families to reach organized sports programming; the availability of school-provided transportation for athletic events; and the relationship between transportation access and participation rates across demographic groups. In rural Michigan, distance to organized sports programming can exceed 30 minutes by car, effectively eliminating participation for families without reliable transportation.

7.3 A Comprehensive Audit Framework

NCI's proposed Michigan Sports Equity and Engagement Measurement (MSEEM) Scorecard provides a six-domain measurement framework designed to assess sports access equity at the

district level. The framework could be expanded to incorporate NIL access metrics, creating the most comprehensive state-level sports equity measurement tool in the country.

Proposed MSEEM + NIL Audit Domains

- **Domain 1: Participation Access** -- Sports availability by sport type, school classification, and geography.
- **Domain 2: Financial Barriers** -- Registration costs, equipment costs, travel requirements, and availability of fee waivers.
- **Domain 3: Facility and Park Access** -- Proximity to athletic facilities, park quality, and availability of maintained fields and courts.
- **Domain 4: Transportation** -- Transit access to sports venues, school transportation availability, and average travel burden by income quartile.
- **Domain 5: Health Outcomes** -- Correlation between sports access and behavioral health indicators, obesity rates, and healthy habit formation by district.
- **Domain 6: NIL Distribution** -- NIL deal frequency, value, sport concentration, demographic distribution, and relationship to upstream access variables.

Source: NCI MSEEM Scorecard Research Brief (2026). Framework published as open-access nonpartisan research.

8. Existing Health and Education Policy Connections

Several existing Michigan statutes and policies intersect with the issues identified in this brief. Strengthening these connections could create a more integrated approach to student-athlete protection.

- **MCL 388.1631n (Section 31n)** -- Allocates \$106.5 million for school-based behavioral health services. Athletic settings are not explicitly included as eligible delivery contexts. Inclusion would create referral pathways for sport-integrated behavioral health support.
- **MCL 380.1278a** -- Michigan's personal finance graduation requirement. Covers general financial literacy but does not address NIL-specific risks (contract negotiation, tax on earned income, agent representation, brand valuation).
- **PA 146/147 of 2024** -- Michigan's K-12 Literacy and Dyslexia Law. Requires ISDs to update screening systems by August 2027 and implement evidence-based instruction. Sports-context literacy interventions (reading programs embedded in athletic settings) could support compliance while expanding access.
- **SB 27 (2024)** -- Michigan's behavioral health parity law, mirroring federal MHPAEA. Creates compliance obligations for insurers that could be leveraged to expand coverage for sport-related behavioral health services.
- **Healthy People 2030** -- Federal target of 63% youth sports participation by 2030. Michigan has not formally adopted this target or established a state-level strategy to achieve it. Fourteen states plus D.C. have already reached the 63% threshold.

9. Policy Recommendations

The evidence presented in this brief supports the following policy recommendations. NCI presents these as nonpartisan, evidence-based conclusions rather than endorsements of specific legislation. Each recommendation addresses one or more of the structural gaps identified in this analysis and is grounded in documented outcomes from peer states, federal policy signals, and published research.

- **Recommendation 1: NIL Financial Literacy Mandate** -- The state should require school districts with MHSAA-sanctioned programs to provide NIL-specific financial literacy education before each athletic season. The evidence supports this: 49% of NCAA athletes self-report needing financial literacy resources; only 34% of Americans under 25 can answer basic financial questions (FINRA 2023); Florida's 5-hour mandate provides a working model. MCL 380.1278a provides the statutory foundation for a targeted NIL supplement covering contracts, tax obligations, agent representation, and predatory deal identification.
- **Recommendation 2: Statutory Codification** -- Michigan should codify its high school NIL framework in state statute. The current bylaw-based approach lacks legislative oversight, public comment processes, and enforceable protections. HB 4816 passed the House 66-43 in 2023 with bipartisan support, demonstrating legislative viability. Statutory codification aligns Michigan with California, Florida, and the structural approach that emerging federal standards will likely require.
- **Recommendation 3: NIL Equity Reporting** -- The state should require disaggregated reporting on NIL deal distribution by sport, gender, school classification, geography, and demographics. MHSAA data already shows concentration in high-visibility sports (22 deals in 2 months, overwhelmingly football and basketball). Without tracking, Title IX implications remain unmonitored and emerging equity gaps invisible. No state currently mandates this reporting, positioning Michigan as a national first mover.
- **Recommendation 4: Comprehensive Equity Audit** -- The state should establish a comprehensive sports equity assessment incorporating income, transportation, facility access, health outcomes, and NIL distribution as measurable domains. The 20.2-point income participation gap, 25% transportation barrier rate among low-income youth, and 35% urban field shortage rate documented in this brief demonstrate that NIL access cannot be assessed in isolation from the upstream infrastructure that determines who plays. NCI's MSEEM framework provides a ready-made six-domain measurement tool.
- **Recommendation 5: Agent Registration** -- The state should create registration requirements for individuals advising minor student-athletes on NIL activity. The April 2026 Executive Order calls for a national agent registry, signaling that federal standards are coming. Michigan should build state-level capacity now rather than scramble to comply later. California and Florida provide working models that include background checks, fee caps, and mandatory disclosure. Without registration, no vetting mechanism exists for adults advising minors on binding financial contracts.
- **Recommendation 6: Health Policy Integration** -- The Legislature should amend MCL 388.1631n to explicitly include athletic settings as eligible delivery contexts for school-based behavioral health services. A 2025 meta-analysis confirms that youth sports participation has statistically significant positive effects on mental health across the lifespan, yet fewer than 12% of community youth sport organizations have any behavioral health referral protocol. Coaches should receive standardized training in behavioral health observation and referral.

The \$106.5 million already appropriated under Section 31n can fund this integration without new spending.

10. Conclusion

Michigan's decision to allow high school NIL activity reflects a national trend. The question is whether the infrastructure exists to ensure NIL is accessible, equitable, and safe for the student-athletes it is meant to serve. The data in this brief reveals interconnected challenges: income and transportation barriers determine who plays; the competitive-vs.-recreational divide shapes who benefits; NIL revenue concentrates where resources already exist; scholarships and non-revenue sport programs are contracting; and no policy framework currently connects these issues.

Addressing these gaps proactively positions Michigan to protect its student-athletes, align with emerging federal requirements, and build the comprehensive infrastructure that the scale of this issue demands.

For questions about this research:

Donavan Norman, Founder & Executive Director

Northstar Civic Institute

Donavan@nciresearch.org | nciresearch.org

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